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County: los-angeles

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Case Number: 26SMCV01951 Hearing Date: July 15, 2026 Dept: 205

Superior
Court of California

County
of Los Angeles – West District

Beverly Hills Courthouse / Department 205

ZACHARY KHOURY, et al.,

Plaintiffs,

v.

TESLA MOTORS, INC. and DOES 1 through
10, inclusive,

Defendants.

Case No.:
26SMCV01951

Hearing Date: July 15, 2026

[TENTATIVE]
order RE:

DEFENDANT’s MOTION TO

COMPEL ARBITRATION AND STAY

PROCEEDINGS

BACKGROUND

This case arises from a dispute over an allegedly defective Tesla. Plaintiffs Zachary Khoury and Natasha Akatcherian ordered a new 2023 Tesla Model Y from Defendant Tesla, Inc. pursuant to a motor vehicle order agreement ("MVOA"). (Ex. 1 to Kim Decl.) Plaintiffs could not have placed the order without agreeing to the terms and conditions of the MVOA. (Kim Decl. ¶ 4.)

The MVOA is a four page document that contains a prominently displayed arbitration provision with a distinctive border. (Ex. 1 to Kim Decl.) The provision states that "you [Plaintiffs] agree that any dispute arising out of or relating to any aspect of the relationship between you [Plaintiffs] and Tesla will not be decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules." (Ex. 1 to Kim Decl.) "Tesla" is defined as "Tesla Inc. and its affiliates." (Id.)

The arbitration agreement allows customers to opt out by sending a letter to Tesla within thirty days of signing the MVOA. (Id.) Plaintiffs did not do so. (Kim Decl., ¶ 7.)

Plaintiffs took delivery of the car, at which time he signed a Retail Installment Sale Contract ("RISC") with Tesla Motors, Inc. (Ex. 2 to Kim Decl.) The title of the document references the arbitration provision: "RETAIL INSTALLMENT SALE CONTRACT – SIMPLE FINANCE CHARGE (WITH ARBITRATION PROVISION)." (Id.) There is also a box in the first page that states: "Agreement to Arbitrate: By signing below, you agree that, pursuant to the Arbitration Provision on page 5 of this contract, you or we may elect to resolve any dispute by neutral binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.” (Id.)

On the second to last page of the RISC, which is signed by Plaintiffs, is a notice that reads: “ARBITRATION PROVISION” and “PLEASE REVIEW – IMPORTANT – AFFECTS YOUR LEGAL RIGHTS.” (Ex. 2 to Kim Decl. at p. 5.) The arbitration provision in the RISC states: “EITHER YOU OR WE MAY CHOOSE TO HAVE ANY DISPUTE BETWEEEN US DECIDED BY ARBITRATION AND NOT IN COURT OR JURY TRIAL.” (Id.)

The agreement to arbitrate covers “[a]ny claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract)[.]” (Id.) “We” and “us” is defined as Tesla Motors, Inc. (Id. at p. 5.)

The operative complaint alleges four claims for (1) violation of subdivision (d) of Civil Code Section 1793.2, (2) violation of subdivision (b) of Civil Code Section 1793.2, (3) violation of the Song-Beverly Act – breach of express warranty, and (4) breach of implied warranty of merchantability.

This hearing is on Tesla’s motion to compel arbitration. Tesla argues the parties entered into a valid, enforceable arbitration agreement which covers the claims raised by Plaintiffs in this case. Tesla also seeks a stay of the proceedings pending the completion of arbitration. No opposition was filed.

REQUEST FOR JUDICIAL NOTICE

Tesla requests judicial notice of Plaintiff’s Complaint. The Court grants the request pursuant to Cal. Evid. Code §§ 452(d), 452(h) and 453.

LEGAL STANDARD

The Federal Arbitration Act ("FAA") applies to contracts that involve interstate commerce. (9 U.S.C. §§ 1, 2). Automotive sales contracts necessarily involve interstate commerce. (United States v. Oliver (9th Cir. 1995) 60 F.3d 547, 550; see also Sanchez v. v. Valencia Holding Co. (2015) 61 Cal.4th 899, 906-907 (applying FAA to automotive sales contract).)

Because arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement. (See Victrola 89, LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 355 ("[T]he presence of interstate commerce is not the only manner under which the FAA may apply. … [T]he parties may also voluntarily elect to have the FAA govern enforcement of the Agreement"].) Here, the RISC states that "any arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act … and not any state law concerning arbitration." (Ex. 2 to Kim Decl. at p. 7.)

Under the FAA, "any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration …". Moses H. Cone Memorial Hospital v. Mercury Constr. Corp. (1983) 460 U.S. 1, 24–25. This federal policy favoring arbitration preempts any state law impediments to the policy's fulfillment. If a state law interferes with the FAA's purpose of enforcing arbitration agreements according to their terms, the FAA preempts the state law provision, no matter how laudable the state law's objectives. (AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 352.) Under the supremacy clause of the United States Constitution (art. VI, cl. 2), the FAA requires any conflicting state law to give way. (Nitro-Lift Technologies, L. L. C. v. Howard (2012) 133 S.Ct. 500, 504).

However, while the arbitration agreement here is governed by the FAA, the agreement may be enforced via the summary procedures provided by California arbitration law. (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal. 4th 394, 409-410.) It is a "general and unassailable proposition . . . that States may establish the rules of procedure governing litigation in their own courts," even though the controversy is governed by substantive federal law. (Felder

v. Casey (1988) 487 U.S. 131, 138.) By the same token, however, a state procedural rule must give way "if it impedes the uniform application of the federal statute essential to effectuate its purpose, even though the procedure would apply to similar actions arising under state law." (McCarroll v. L.A. County etc. Carpenters (1957) 49 Cal. 2d 45, 61, 62.)

"We think it plain the California procedures for a summary determination of the petition to compel arbitration serve to further, rather than defeat, the enforceability policy of the [FAA.]" (Rosenthal, 14 Cal. 4th at 409.) Code Civ. Proc. § 1281.2 and 1290.2 are neutral as between state and federal law claims for enforcement of arbitration agreements. (Id.) "They display no hostility to arbitration as an alternative to litigation; to the contrary, the summary procedure provided, in which the existence and validity of the arbitration agreement is decided by the court in the manner of a motion, is designed to further the use of private arbitration as a means of resolving disputes more quickly and less expensively than through litigation." (Id.)

As with federal law, under California law, public policy favors arbitration as an efficient and less expensive means of resolving private disputes. (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 8-9; AT&T Mobility LLC v. Concepcion, 563 U.S. at 339.) To further that policy, Code Civ. Proc. §1281.2 requires a trial court to enforce a written arbitration agreement unless it finds (1) no written agreement to arbitrate exists, (2) the right to compel arbitration has been waived, (3) grounds exist for rescission of the agreement or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues.

When seeking to compel arbitration, the initial burden lies with the moving party to demonstrate the existence of a valid arbitration agreement by a preponderance of evidence. (Ruiz v. Moss Bros. Auto Group (2014) 232 Cal.App.4th 836, 841-42; Gamboa v. Northeast Community Clinic (2021), 72 Cal.App.5th 158, 164-65.) It is sufficient for the moving party to produce a copy of the arbitration agreement or set forth the agreement's provisions. (Gamboa, 72 Cal.App.5th at 165.) The burden then shifts to the opposing party to prove by a preponderance of evidence any defense to enforcement of the contract or the arbitration clause. (Ruiz, 232 Cal.App.4th at 842; Gamboa, 72 Cal.App.5th at 165.) The trial court then weighs all the evidence submitted and uses its discretion to make a final determination. (Id.) “California law, like [federal law], reflects a strong policy favoring arbitration agreements[.]” (Wagner Const. Co. v. Pacific Mechanical Corp. (2007) 41 Cal.4th 19, 31 (internal quotations omitted).)

If the court orders arbitration, then the court shall stay the action until arbitration is completed. (See Code Civ. Proc., § 1281.4.)

DISCUSSION

Existence of an Agreement

In ruling on a motion to compel arbitration, the Court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541; Victoria v. Superior Court (1985) 40 Cal. 3d 734, 835.)

Although “[t]he law favors contracts for arbitration of disputes between parties” (Player v. Geo. M. Brewster & Son, Inc. (1971) 18 Cal.App.3d 526, 534), “there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate[.]” (Weeks v. Crow (1980) 113 Cal. App. 3d 350, 353..) “[A]rbitration is a matter of contract and a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.” (AT&T Technologies v. Communications Workers (1986) 475 U.S. 643, 648 (citations and internal quotations omitted); see also Sparks v. Vista Del Mar Child & Family Services (2012) 207 Cal.App.4th 1511, 1518 (“Because arbitration is a contractual matter, a party that has not agreed to arbitrate a controversy cannot be compelled to do so”).)

Tesla has met its burden to show that an arbitration agreement exists. The MVOA requires arbitration of “any dispute arising out of or relating to any aspect of the relationship between you [Plaintiff] and Tesla”. (Ex. 1 to Kim Decl.) Plaintiffs agreed to the terms and conditions of the MVOA by clicking on the “Place Order” button. (Kim Decl. ¶ 4.)

Courts have enforced similar “clickwrap” agreements. “Clickwrap” is an agreement “in which an internet user accepts a website’s terms of use by clicking an ‘I agree’ or ‘I accept’ button, with a link to the agreement readily available.” (Sellers v. JustAnswer LLC (2021) 73 Cal. App. 5th 444, 463 (internal quotation marks omitted). “[C]ourts have routinely found clickwrap agreements enforceable.” (Berman v. Freedom Fin. Network, LLC (9th Cir. 2022) 30 F.4th 849, 856.)

As with any other contract, however, “clickwrap” agreements must be supported by mutual assent. (Sellers, 73 Cal. App. 5th at 461.) “[I]n order to establish mutual assent for the valid formation of an internet contract, a provider must first establish the contractual terms were presented to the consumer in a manner that made it apparent the consumer was assenting to those very terms when checking a box or clicking on a button.” (Id.)

Here, Plaintiffs placed the order for their Tesla by clicking a Place Order button on Tesla’s website. (Kim Decl. ¶ 4.) Prior to placing the order, Plaintiffs would be advised that he was agreeing to the MVOA’s terms and conditions. (Id.) There would be a hyperlink to the MVOA’s terms and conditions that Plaintiffs could click on and read prior to proceeding with the order. (Id.) If a customer clicks on the hyperlink, a new window would open revealing the MVOA. (Id.) On these facts, the Court concludes that “the contractual terms were presented to the consumer in a manner that made it apparent the consumer was assenting to those very terms when checking” the box next to the link to the Terms and Conditions. (Sellers, 73 Cal. App. 5th at 461; cf. Adibzadeh v. Best Buy Co. Inc., No. 20-cv-06257-JSW, 2021 U.S. Dist. LEXIS 193421, 2021 WL 4440313, at *6 (N.D. Cal. Mar. 2, 2021) (concluding users were afforded reasonably conspicuous notice where they were required to “agree to the website’s terms and conditions before they [could] proceed, and the terms and conditions [were] offset in a blue[], hyperlinked text”).)

Given the Court’s conclusion above, the Court does not separately consider whether Tesla has standing to enforce the arbitration provision in the RISC, which was entered between Plaintiffs and Tesla Motors, Inc., as opposed to Tesla Inc.

Arbitrability of Claims

The arbitration agreement is broad enough to cover Plaintiffs' suit regarding a defective Tesla. The MVOA requires arbitration of "any dispute arising out of or relating to any aspect of the relationship between you [Plaintiff] and Tesla." (Ex. 1 to Kim Decl.) Plaintiffs' claims arise out of Tesla's manufacture of the car, the sale of the car to Plaintiffs by Tesla, Tesla warranting the car, and Tesla's repairs to the car, all of which arise out of and relate to the relationship between the parties.

Stay of Proceedings

The FAA requires the court to stay the judicial proceeding pending completion of arbitration. (9 U.S.C. §3.) Similarly, Code Civ. Proc. §1281.4 provides that if the court has ordered the arbitration of a controversy, it "shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." Pursuant to the FAA and Section 1281.4, therefore, the Court stays this action pending conclusion of the arbitration proceedings.

CONCLUSION

For the foregoing reasons, the Court GRANTS Defendant Tesla, Inc.'s motion to compel arbitration and for a stay.

DATED: July 15, 2026 ____________________________

Edward B. Moreton, Jr.

Judge of the Superior Court